King Gyanendra also played a crucial role in the confrontation with the Indian government when he sacked Prime Minister Sher Bahadur Deuba in early 2005 and became the absolute ruler of the kingdom. R&AW officers had strong reservations about the king's power in the democracy and even when the Manmohan Singh government tried to keep the veto power in Gyanendra's hands, the R&AW warned that the monarchy had to go if India wanted a stable and peaceful neighborhood. Gyanendra had started cultivating the Chinese and according to a R&AW intelligence report, favoured a large arms deal with Chinese, ignoring the Indian bid. The report added that

Gyanendra's relatives were the alleged beneficiaries of several deals in other sectors, such as mobile technology.

But India failed to re-calibrate its approach to Nepal, leaving developments in the Himalayan kingdom out of its reach.

Nepal as a Safe House for Terrorists

The intelligence officers who relentlessly pursued the Indian Mujahideen's terrorists said that their spy missions in the neighbourhood confirmed the fear that little villages and towns in Nepal were turning into safe houses for terror modules fleeing India. By 2008, the R&AW had started to track and intercept the phone numbers of suspected sympathisers inside Nepal. An intelligence note that I accessed revealed the dual life of terror cells in Nepal. Immediately after the Batla House encounter in September 2008, Ariz Khan alias Zunaid managed to escape. The intelligence note said that he reached Aligarh and met Masood, briefing him about the police's crackdown and receiving some financial assistance. Subsequently, Zunaid, accompanied by Shahzad, shuttled between Mumbai, Jodhpur, Noida and Muzaffarnagar. The duo travelled to Azamgarh in UP,